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Case Number: 24STCV34578 Hearing Date: August 5, 2026 Dept: 508

Superior

Court of California

County

of Los Angeles

Department 508

RAQUEL SEFTON,

Plaintiff,

vs.

ADRIAN NIAL ROSENBERG, et al.,

Defendants.

Case No.:

24STCV34578

Hearing Date:

August 5, 2026

Hearing Time:

2:00 p.m.

[TENTATIVE]

ORDER RE:

PLAINTIFF'S MOTION FOR ORDER (1) PERMITTING

DISCOVERY OF DEFENDANT'S FINANCIAL CONDITION FOR PUNITIVE DAMAGES (CIV. CODE §3295(C)) AND (2) COMPELLING PRODUCTION OF

UNREDACTED CONTRACT DOCUMENTS (CIV. PROC. CODE §§

2031.310 - 2031.320)

Background

Plaintiff

Raquel Sefton ("Plaintiff") filed the original complaint in this action on

December 30, 2024, alleging causes of action for (1) violation of 18 U.S.C. § 38, (2) fraud,

(3) rescission, and (4)

money had and received.

Plaintiff

filed the operative first amended complaint ("FAC") in this action on March 17,

2025 against Defendants Adrian Niall Rosenberg

("Rosenberg"), Airtime LLC, and Nick Vartanian. The FAC alleges causes of

action for (1) violation of California Consumer Legal Remedies Act, (2) fraud,

(3) rescission, and (4) money had and received.

Plaintiff

now moves for an order (1) permitting Plaintiff to conduct discovery into the financial

condition of Defendants Adrian Niall Rosenberg and Airtime LLC (jointly, "Airtime

Defendants") pursuant to Civil Code section 3295 and

(2) compelling Airtime Defendants to produce unredacted copies of the

contract documents described as "back-to-back transactions." Airtime Defendants

oppose. Plaintiff replied.

Evidentiary Objections

The Court previously ordered the parties to meet and confer on the

evidentiary objections submitted by Airtime Defendants. The parties decided as

follows:

Objections Nos. 1, 2, 3, 5, 8, 9: sustained

Objections Nos. 4, 6, 7, 10, 11, 12, 13, 14, 15: withdrawn

Discussion

A. Financial

Discovery

Code of Civil Procedure section 3295

requires that “[n]o pretrial discovery by the plaintiff shall be permitted with respect to” (1) the profits the defendant has gained by virtue of the wrongful course of conduct of the nature and (2) type shown by the evidence and the financial condition of the defendant, “unless the court enters an order permitting such discovery pursuant to this subdivision.” (Id. at subds. (a)(1)-(2), (c).)

“[W]hen

the agreement itself is procured by fraud, none of its provisions have any legal or binding effect. This provision of the contract -- even if we assume that, if valid, it could redound to the benefit of the Association -- was not a waiver of plaintiffs' right to maintain the action. The fraud which was the inducing cause of the execution of the contract renders the whole instrument vulnerable -- the clause in question as well as all the other provisions.” (Vai v. Bank of America Nat'l Trust

& Sav. Assn. (1961) 56 Cal.2d

329, 344 [internal

quotations omitted].) Punitive damages “may be awarded where a defendant fraudulently induces the plaintiff to enter into a contract. [Citations.] The words ‘oppression, fraud, or malice’ in Civil Code section 3294 being in the disjunctive, fraud alone is an adequate basis for awarding punitive damages.” ((Glendale Fed. Sav.

& Loan Assn. v. Marina View Heights Dev. Co. (1977) 66 Cal.App.3d 101, 135.)

As a preliminary matter, Plaintiff points out that the Court previously made a determination regarding fraud in its September 8, 2025 Order. After considering the evidence provided by the parties, the Court chose not to enforce a forum-selection clause in the parties' Sales/Purchase Agreement because Plaintiff presented evidence showing Rosenberg procured the agreement by fraud. (Sharp Decl., ¶ 3, Ex. 2.) The Court explicitly found, inter alia,

that “[i]n

light of the foregoing, the Court finds that Plaintiff has provided evidence to support her argument that the subject agreement was ‘procured by fraud’ such that ‘none of its provisions have any legal or binding effect.’ (Vai v. Bank of America Nat’l Trust & Sav. Asso., supra, 56 Cal.2d at p. 344.)

Accordingly, the Court denies the Airtime Defendants’ apparent motion to enforce the subject forum selection clause.” (Order 9/8/25, 7:13-17.)

Not

only did the Court previously decide that Plaintiff established fraud sufficient to void the contract, but Plaintiff also presents additional evidence in the instant motion to support fraud.

First,

in the FAC, Plaintiff alleges, inter alia, that her “consent to the May 8, 2024, Sales / Purchase Agreement with Airtime LLC was induced by fraud and/or undue influence within the meaning of California Civil Code § 1689, entitling Plaintiff Sefton to rescission of the contract.” (FAC, ¶ 56.) Next, in Plaintiff’s supporting declaration, Plaintiff attests, inter alia, that “Rosenberg called me and told me he had found an owner of a 1999 Eurocopter EC120 Colibri five-seat, single-engine, light utility helicopter, FAA registration N42GH (the ‘EC120’). Rosenberg told me that the owner of the EC120 was a wealthy individual who was a ‘weekend flyer’ and ‘looking to offload some of his toys’ after being diagnosed with cancer. I later learned that these representations were false.” (Sefton Decl., ¶ 9.)

Plaintiff

states that “Rosenberg told me that I needed to act quickly if I wanted to buy the EC120, because the seller had not yet put the aircraft on the market, and was about to do so, and that he expected the helicopter to be snapped up if offered for sale to other potential purchasers as the market was very competitive.” (Sefton Decl., ¶ 10.) Plaintiff further attests that “[i]n our phone conversation, among other things, Rosenberg told me that the EC120 was overdue for certain inspections called for by Eurocopter, which he referred to as the ‘12 year’ and ‘15 year’ inspections. Rosenberg downplayed the significance of these inspections, telling me that they would only be required if I wanted to use the helicopter for commercial purposes, and that it was common for private owners to forego these inspections. I later learned that these representations were false.” (Sefton Decl., ¶ 11.)

Plaintiff

states that "[b]ased on Rosenberg's statements about the EC120, and believing that he was acting as my broker, I authorized him to convey an offer of \$600,000 to the owner of the EC120." (Sefton Decl., ¶ 12.) Plaintiff states that "[o]n Thursday, May 2, 2025, I texted Rosenberg that I would accept the seller's \$625,000 counter-offer." (Sefton Decl., ¶ 14.) Plaintiff further states that "Defendant Rosenberg on or about May 6, 2024, sent me a draft document entitled 'Sales / Purchase Agreement.' The document left a blank in the space provided for the name and address of the seller. Based on Rosenberg's statements to me, I believed the seller was a wealthy individual in Nevada, or an entity owned and controlled by that individual." (Sefton Decl., ¶ 17.) Plaintiff states that "I spoke to Rosenberg by phone on or about May 6, 2024, concerning my edits to the draft contract. Rosenberg did not tell me that he had already signed a contract with the seller to purchase the EC120 himself on behalf of Airtime LLC, and did not tell me that he or his company would be the seller when I purchased the helicopter." (Sefton Decl., ¶ 18.)

Plaintiff

states that she "learned that Rosenberg had arranged to purchase the EC120 himself from the Nevada owner for approximately \$400,000, using funds I had wired into escrow at Rosenberg's direction, and immediately sell the EC120 to me for the inflated price of \$625,000... He did not disclose to me that he was purchasing the EC120 for himself and making a profit at my expense." (Sefton Decl., ¶ 24.) In addition, Plaintiff states that she "reviewed the Sale/Purchase Agreement and for the first time focused on the listing of Airtime LLC as the 'Seller.' I called Rosenberg on the phone and asked him why he had listed Airtime LLC as the Seller, and he told me, 'I don't know.'" (Sefton Decl., ¶ 23.)

Plaintiff's

motion asserts that "[t]he most clear and convincing evidence is Rosenberg's own admission that his fraud on Sefton was part of a common scheme or plan that he has engaged in with others." (Mot., 9:14-16.) Rosenberg's declaration in support of the forum non conveniens motion states, inter alia, that

5.

When I assist a client, on behalf of Airtime, I utilize a transaction structure referred to as a back-to-back transaction.

6.

In a back-to-back transaction a middle person like Airtime acts as both an interim buyer and interim seller of an aircraft.

7.

The middle person is aware of a potential seller and buyer, buys the aircraft from the seller and then sells it to the buyer.

8.

The middle person's compensation is the difference between the purchase price from the original seller and the sale price to the end buyer.

(Sharp Decl., ¶ 5; Ex. 9, Rosenberg Decl., ¶¶ 4-9.) Plaintiff asserts that Rosenberg admits he acts as a broker for his clients. Plaintiff cites *Horning v. Shilberg* (2005) 130 Cal.App.4th 197, 204, where the court expressed that a "person acts as a broker only if he or she is acting (1) for compensation and (2) on behalf of someone else." Plaintiff contends that "Rosenberg's declaration does not assert that he discloses to his 'clients' that he intends to wear multiple hats ('both an interim buyer and interim seller' as well as his client's broker). He does not assert that his clients agreed to allow Rosenberg to use their money, deposited in escrow, to be an 'interim buyer' of an aircraft available for purchase from a third party. Here, Rosenberg purported to act on behalf of Sefton, conveying an offer of \$600,000 on her behalf, purporting to negotiate to replace the front windows, securing hangar space at Whiteman Airport, and offering her advice on safety, valuation, and setting up an LLC, among other things." (Mot., 10:5-11.)

Plaintiff cites *Ward v. Taggart* (1959) 51 Cal.2d 736, 740-742, where the Supreme Court held that punitive damages are available when a broker defrauds a client by making a "secret profit" at the client's expense. The court stated that "section 3294 of the Civil Code ... authorizes exemplary damages 'in an action for the breach of an obligation not arising from contract, where the defendant has been guilty [of] oppression, fraud, or malice.' The word 'contract' is used in this section in its ordinary sense to mean an agreement between the parties, not an obligation imposed by law despite the absence of any such agreement. Taggart's obligation does not arise from any agreement between him and plaintiffs. It arises from his fraud and violation of statutory duties." (Id. at pp. 742-743.)

Airtime Defendants contend that Plaintiff cannot gain access to their financial condition because she has not

demonstrated a probability of prevailing, and Civil Code section 3294, the basis for Plaintiff's punitive damages request, bars Plaintiff's request. Regarding the probability of prevailing, the Court already expressly determined Plaintiff has a probability of prevailing on her fraud cause of action. Additionally, the foregoing evidence demonstrates Airtime Defendants may have acted fraudulently and in violation of their duty to act on behalf of their clients' interests. As for Civil Code section 3294, subdivision (a), it explicitly states that "[i]n an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant." Airtime Defendants contend that "[e]verything about this case arises from contract: a contract to purchase a helicopter. The contract is itself attached as an exhibit to the 1st Amended Complaint. Thus, even if Plaintiff were able to show strong likelihood of prevailing on her fraud claims, those claims are ineligible for punitive damages because they most assuredly arise from the helicopter sales contract." (Opp., 6:1-5.)

Plaintiff's reply refutes this, asserting that her "claims are for fraud and violation of the Consumer Legal Remedies Act (CLRA), and not for breach of contract. (Sharp Dec. Exh. 1 [First Amended Complaint].) Plaintiff's CLRA claim arises from statute, not contract, and punitive damages are available for a willful violation of the CLRA by statute." (Reply, 4:9-13; see also Civ. Code, § 1785.31 ["Any consumer who suffers damages as a result of a violation of this title by any person may bring an action in a court of appropriate jurisdiction against that person to recover[,] ... [i]n the case of a willful violation[,] ... [p]unitive damages."].) Plaintiff also asserts that her "fraud claim sounds in tort, not contract, and it is well-settled that '[a]lthough punitive damages may not ordinarily be given for breach of contract, . . . such damages may be awarded where a defendant fraudulently induces the plaintiff to enter into a contract.'" (Reply, 4:13-16, citing *Glendale Fed. Sav. & Loan Assn. v. Marina View Heights Dev. Co.*, supra, 66 Cal.App.3d at p. 135.) Lastly, Plaintiff contends that "[t]his squarely-on-point authority was cited in Plaintiff's motion; Defendants simply ignore it." (Reply, 4:18-19.)

The Court finds that Plaintiff adequately demonstrated a probability of prevailing on her fraud

cause of action, thus warranting financial discovery into Airtime Defendants' financial condition. Airtime Defendants do not adequately refute Plaintiff's evidence, nor do they provide the Court with law demonstrating Plaintiff's punitive damages request is barred. Plaintiff's causes of action are not based in contract, as Airtime Defendants contend. Accordingly, the Court grants Plaintiff's request to conduct discovery into Airtime Defendants' financial condition.

B. Production of Unredacted Contract Documents

"[A]ny party may obtain discovery regarding any matter, not privileged, that is relevant to the subject matter involved in the pending action or to the determination of any motion made in that action, if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence... Discovery may be obtained of the identity and location of persons having knowledge of any discoverable matter..." ((Code Civ. Proc., § 2017.010.)

Plaintiff seeks unredacted contract documents because Rosenberg redacted the names of the previous clients. Plaintiff contends that a claim for punitive damages requires the trier of fact to assess "[t]he reprehensibility of the conduct of the defendant." (Adams v. Murakami (1991) 54 Cal.3d 105, 126 (dis. opn. of Mosk, M.).) "Prior bad acts evidence is admissible to show a common plan or scheme if the probative value of the evidence outweighs the potential for prejudice." ((Butler v. LeBouef (2016) 248 Cal.App.4th 198, 205.) Plaintiff contends that, "[t]hus, Rosenberg's conduct with his other 'clients' is relevant and admissible on Sefton's claim for punitive damages." (Mot., 12:11-12.)

Plaintiff

also asserts that Rosenberg waived objections based on privacy. Plaintiff asserts that "Rosenberg's responses to Sefton's Interrogatories and Document Requests did not mention privacy, or cite any statute or constitutional provision. (Sharp Dec. Exhs. 12 & 13.) Rosenberg did not move for a protective order authorizing him to redact documents or withhold discovery. (See. Civ. Proc. Code § 2031.060(a).) Had he done so, he would have been required to carry the burden of demonstrating good cause." (Mot., 12:21-25.) Code of Civil Procedure section 2031.060, subdivision (a), provides that "[w]hen an inspection, copying, testing, or sampling of documents, tangible things, places, or

electronically stored information has been demanded, the party to whom the demand has been directed, and any other party or affected person, may promptly move for a protective order." "The court, for good cause shown, may make any order that justice requires to protect any party or other person from unwarranted annoyance, embarrassment, or oppression, or undue burden and expense." (Code Civ. Proc., § 2031.060, subd. (b).)

Plaintiff

also contends that in an effort to avoid motion practice, her counsel emailed Airtime Defendant's counsel stating that "[a] protective order will alleviate whatever confidentiality concern your client may have. If you will not agree to produce unredacted contracts subject to a protective order, please cite whatever authority you are relying on to withhold the requested discovery." (Sharp Decl., ¶ 8, Ex. 15.) Airtime Defendant's counsel responded, asserting that "[t]hese contracts are privileged and confidential pursuant to their express terms. No further 'authority' is needed to determine that privileged and confidential status. They will not be produced in un-redacted form." (Ibid.)

Plaintiff asserts that "[t]hus, Rosenberg repeatedly failed to cite a specific, legally cognizable objection, and thus waived any such objections." (Mot., 13:7-8.)

Airtime

Defendants' opposition asserts that "[t]hose contracts contained express confidentiality provisions, which were protected from disclosure by redaction. Plaintiff now seeks to ignore that express confidentiality, requesting disclosure of the identities of those 3rd parties to whom protection was promised by Defendants. Moreover, there is no relevance to the identities of 3rd parties that had similar contracts to the within agreement between Plaintiff and Defendants, but had nothing at all to do with the within transaction. Disclosure ignoring the express confidentiality will also not lead to the discovery of admissible evidence. Naming names doesn't provide anything more than a springboard for harassment of people that have no connection to any of the relevant issues in this case." (Opp., 6:21-7:2.) Further, Airtime Defendants contend that "[t]he mere fact that there were back-to-back transactions, in and of themselves does not rise to the level of 'Fraud.' Nor does the allegations that Defendants have conducted similar past transactions rise to the level of 'Fraud.' Further Plaintiff has failed to overcome Defendants' position that 'no good cause' or relevant facts which could lead to admissible evidence has been presented." (Opp., 7:11-16.)

Airtime

Defendants do not present the Court with a legal basis for withholding the identities of the contracted parties. Airtime Defendants assert that the confidentiality provisions control; however, as noted by Plaintiff, a confidentiality provision is insufficient on its own to withhold relevant discovery and, Airtime Defendants sought to maintain the privacy of the parties' identities, they could move for a protective order. Airtime Defendants did not move for a protective order and have not demonstrated good cause in the instant motion to keep the names redacted. Rather, the Court finds that Plaintiff demonstrated good cause to gain access to the unredacted contracts. Plaintiff demonstrates that this information could lead to admissible evidence that supports her punitive damages claim. Airtime Defendants do not provide the Court with a legal basis for denying Plaintiff's request. Accordingly, the Court grants Plaintiff's request for unredacted documents of the contract documents.

Conclusion

Based

on the foregoing, Plaintiff's motion is GRANTED in its entirety. The Court finds that Plaintiff may conduct discovery into the financial condition of Airtime Defendants. The Court orders Airtime Defendants to produce unredacted copies of the contract documents described as "back-to-back transactions."

Plaintiff

is ordered to give notice of this Order.

DATED: August 5, 2026

Hon.

Teresa A. Beaudet

Judge,

Los Angeles Superior Court